

In this perspective, the market is likely to evolve through a mix of free and paid offerings, with users paying according to their budgets and needs.

DOLLAR FLIGHT

The debate around AI dependence often focuses on large language models. Yet, the real economic battleground may be inference. Inference occurs every time an AI model processes new information and generates an answer, recommendation, prediction or decision. Every ChatGPT query, fraud alert, medical diagnosis, customer support interaction or coding suggestion involves inference. Inference is where the bulk of future AI consumption will occur.

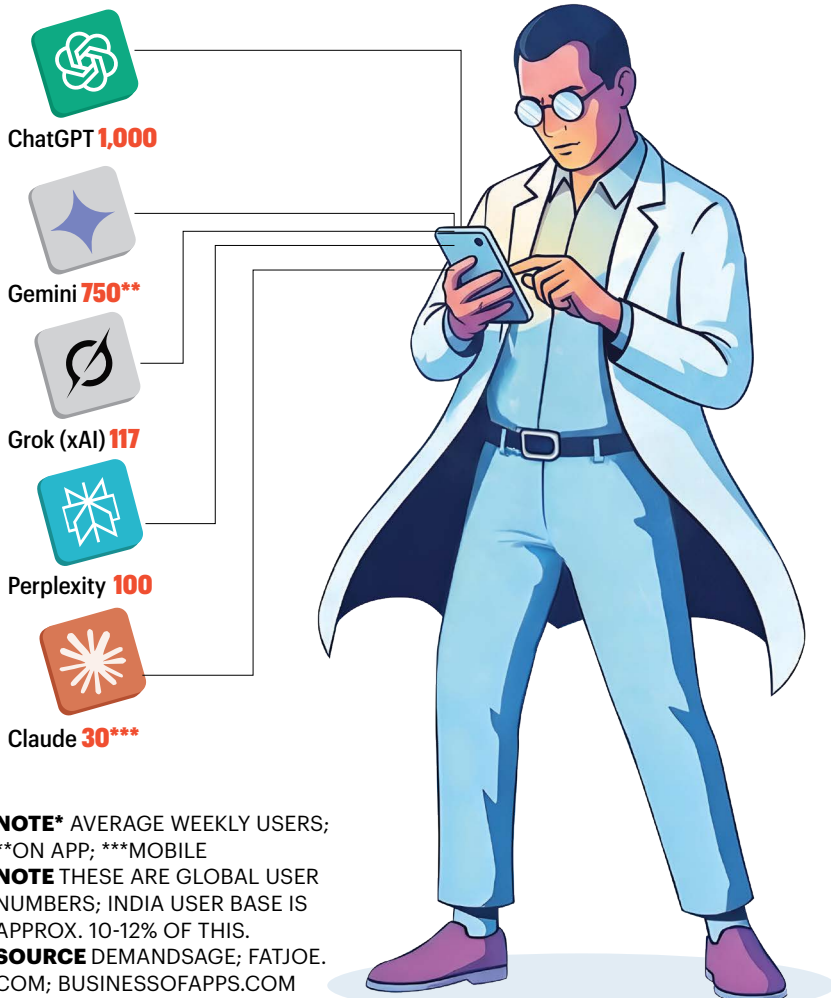
For example, in healthcare, inference helps analyse medical scans and detect diseases. In banking, it identifies suspicious transactions and flags fraud within milliseconds. In retail, it powers recommendation engines. In manufacturing, it predicts factory equipment failures. Autonomous vehicles, voice assistants and AI agents all rely on inference running continuously. Much of this inference today runs on infrastructure owned by foreign providers and is billed in dollars.

Dependence on foreign intelligence layers raises questions of sovereignty as well. Kannapally says, "The biggest risk is not technological dependence, but economic dependence. If every major enterprise workflow, government service and digital product is powered by imported intelligence, India could end up exporting capital while importing AI capabilities at scale."

Lack of control or local options for AI for governments and users could compromise user data as data flows to a foreign company.

USERS ON PLATFORMS

• (in million)*



DATA

India generates around 20% of global data but locally stores only 3%. Data of Indian users could be in the hands of foreign entities

CONTROL

India's digital public infrastructure could be compromised, as foreign AI models are becoming the cognitive layer sitting atop economies

ECONOMICS

As AI models become sticky and more users are hooked to them, they will start paying to use, leading to a widening import bill

CAPABILITY

India has the talent to build foundational AI models. It will be underutilised if used only for training, testing foreign AI models

SOURCE STUDIES